

EGERTON



UNIVERSITY

**UNIVERSITY EXAMINATIONS
SCHOOL BASED NJORO CAMPUS**

FIRST SEMESTER, 2021/2022 ACADEMIC YEAR

**FOURTH YEAR EXAMINATION FOR THE BACHELOR OF SCIENCE DEGREE IN
AGRICULTURAL EDUCATION AND EXTENSION**

AGBM 406: FINANCIAL AND HUMAN RESOURCE MANAGEMENT

STREAM: BSc. DATM & FOST.

TIME: 2 HRS

EXAMINATION SESSION: JULY.

YEAR: 2022

INSTRUCTIONS

- (i) Answer ALL questions in section A and ANY other three questions in Section B
- (ii) Do not write on the question paper

SECTION A**Question One**

A farm manager is considering two mutually exclusive Production facilities requiring an initial cash outlay of KES 600,000 for the new products with an estimated useful Life of five years. The farm business' existing return on capital is 10% and this is assumed to be the cost of capital. Cash flow expected to be generated by projects are as follows:

Year		1	2	3	4	5
Project A	Kshs	220,000	230,000	200,000	150,000	100,000
Project B	Kshs	120,000	170,000	210,000	200,000	220,000

Required

Calculate and advice the manager on viability of each project using the following methods

- a) The payback periods. (3 marks)
- b) The average rate of return. (5 marks)
- c) The net present value. (5 marks)
- d) The internal rate of return. (6 marks)
- e) What are the merits and demerits of IRR? (6 marks)

Question Two

- a) Explain with examples, the concept of time value of money as used in capital budgeting. (5 marks)
- b) What are the objectives of a business firm in financial management. (10 marks)

SECTION B

Question Three

- a) Describe the objectives of training and development in an organization. (7 marks)
- b) Discuss in detail the methods used in training and development. (8 marks)

Question Four

Discuss the recruitment and selection process for any four designations of Manufacturing Company of your choice. (15 marks)

Question Five

- a) Why has there been an increased emphasis on human resource planning? Illustrate with examples the process of human resource planning at enterprise level. (10 marks)
- b) 'Money cannot motivate all people under all circumstances. Discuss (5 marks)

Question Five

- a) Define Industrial relations and explain the role of industrial relations in a modern society. (7 marks)
- b) Discuss the importance of having trade unions. (8 marks)
